(b) Improvement in the Human Development Index and GNP.
(c) Rise in the savings and consumption trends.
(d) Extent of real freedom that citizens enjoy.

Ans. (d) The assessment of development cannot be divorced from the lives that people can lead and the real freedom that enjoy. Development can scarcely be seen merely in terms of enhancement of inanimate objects of convenience.

34. What does a ''constitutive'' connection between democracy and development imply ?
(a) The relation between them has to be seen through external links.
(b) Political and civil rights only can lead to economic development.
(c) Political liberties and democratic rights are essential elements of development.
(d) None of the statements (a), (b) and (c) given above is correct in this context.

Ans. (c) According to the passage, even though the question has often been asked whether political freedom is "conducive to development". We must not miss the crucial recognition that political liberties and democratic rights are among the "Constituent components of development".

Passage-3

The need of competition Law becomes more evident when foreign direct investment (FDI) is liberalized. The impact of FDI is not always procompetitive. Very often FDI takes the form of foreign corporation acquiring a domestic enterprise or establishing a joint ventures with one. By making such an acquisition the foreign investor may substantially lessen competition and gain a dominant position in the relevant market, thus charging higher prices. Another scenario is where the affiliates of two separate multinational companies (MNCs) have been established in competition with one another in a particular developing economy, following the liberalization of FDI. Subsequently, the parent companies overseas merge. With the affiliates no longer remaining independent, competition in the host country may be virtually eliminated and the prices of the products may be artificially inflated. Most of these adverse consequences of mergers and acquisitions by MNCs can be avoided is an effective completion law is in place. Also, an economy that has implemented and effective competition law is in a better position to attract FDI than one that has not. This is not just because most MNCs are expected to be accustomed to the operation of such a law in their home countries and know how to deal with such concerns but also that MNCs expect competition authorities to ensure a level playing field between domestic and foreign firms.

35. With reference to the passage, consider the following statements :
1. It is desirable that the impact of Foreign Direct Investment should be pro- competitive.
2. The entry of foreign investors invariably leads to the inflated prices in domestic markets.

Which of the statements given above is/are correct?
(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans. (a) The need of competition law becomes more evident when foreign direct investment is liberalized. The impact of FDI is not always procompetitive. Thus statement 1 is correct. The foreign investor may substantially lessen competition and gain dominant position in the relevant market thus charging higher price and thus statement 2 is wrong.

36. According to the passage, how does a foreign investor dominate the relevant domestic market ?
1. Multinational companies get accustomed to domestic laws.
2. Foreign companies establish joint ventures with domestic companies.
3. Affiliates in a particular market / sector lose their independence as their parent companies overseas merge.
4. Foreign companies lower the cost of their products as compared to that of products of domestic companies.

Which of the statements given above are correct?
(a) 1 and 2 only (b) 2 and 3 only
(c) 1, 2 and 3 only (d) 1,2, 3 and 4

Ans. (b) Very often FDI takes the form of foreign corporation acquiring domestic enterprises or establishing a joint ventures with ones. Subsequently, the parent companies overseas merge. With the affiliates no longer remaining independent, competition in the host country may be virtually eliminated thus only statement (2) and (3) are correct.

37. What is the inference from this passage ?
(a) Foreign investors and multinational companies always dominate the domestic market.
(b) It is not in the best interests of the domestic economy to allow mergers of companies
(c) With competition law, it is easy to ensure a level playing field between domestic and foreign firms.
(d) For countries with open economies, Foreign Direct Investment is essential for growth.

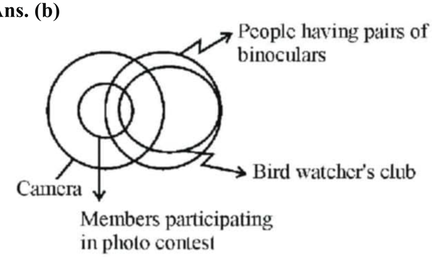
Ans. (c) The inference from this passage is with competition law, it is easy to ensure a level playing field between domestic and foreign to firms. The need of competition law becomes more evident when foreign direct investment is liberalized.

INTERPERSONAL SKILL & COMMUNICATION SKILLS

38. Examine the following statements :
1. Only those who have a pair of binoculars can become the members sof the birdwatcher's club.
2. Some members of the bird watcher's club have Cameras.
3. Those members who have cameras can take part in photos-contests.

Which of the following conclusion can be drawn from the above statements?
(a) All those who have a pair of binocsulars are members of the bir watcher's club.
(b) All members of the birdwatcher's club have a pair of binoculars.
(c) All those who take part in photo-contests are members of the birdwatcher's club.
(d) No conclusion can be drawn.

Ans. (b)



39. During the last summer vacation, Ankit went to a summer camp where he took part in hiking, swimming and boating. This summer, he is looking forward to a music camp where he hopes to sing, dance and learn to play the guitar.
Based on the above information, four conclusions, as given below, have been made. Which one of these logically follows from the information given above?
(a) Ankit, parents want him to play the guitar.
(b) Ankit, prefers music to outdoor activities.
(c) Ankit, goes to some type of camp every summer.
(d) Ankit likes to sing and dance

Ans. (d) According to the information, there is nowhere mentioned about Ankit parent and also no outdoor activities thus option (a) and (b) are wrong. According to the information, last summer and this summer he went to camp but it is not sure that usually he goes to camp every summer. Thus option (c) is wrong. But, this summer he is looking forward to a music camp where he hopes to sing and dance and learn to play guitar. Thus, option (d) is correct.

40. Consider the following statement :
"Thought quite expensive, television is not a luxury item, as one can learn many things through television."
Which one of the following is valid inference from the above statement?
(a) All expensive things are regarded as luxury
(b) All essential things for learning are not luxury.
(c) Television is essential for learning.
(d) Television is not luxury item.

Ans. (d) According to the statement it is very much clear that T.V. is not luxury item.

LOGICAL & ANALYTICAL ABILITY

41. Consider the following statements :
1. All machines consume energy.
2. Electricity provides energy.
3. Electricity operated machines are cheap to maintain.
4. Electrically operated machines do not causes pollution.

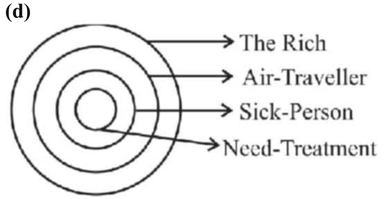
Which one of the following inferences can be drawn from the above statements?
(a) All machines are run by electric energy.
(b) There is no form of energy other than electricity.
(c) Most machines are operated on electric energy
(d) Electrically operate machines are preferable to use

Ans. (d) On the basis of statement, It can be inferred that electrically operate machines are preferable to use because electrically operated machines are cheap to maintain and do not causes pollution.

42. Examine the following statements :
1. None but the rich can afford air-travel.
2. Some of those who travel by air become sick
3. Some of those who become sick require treatment.

Which one of the following conclusions can be drawn from the above statements?
(a) All the rich persons travel by air.
(b) Those who travel by air become sick.
(c) All the rich persons become sick.
(d) All those who travel by air are rich.

Ans. (d)



Hence,
All those who travel by air are rich.

43. In five flats, one above the other, live five professionals. The professor has to go up to meet his IAS officer friend. The doctor is equally friendly to all, and has to go up as frequently as go down. The engineer has to go up to meet his MLA friend above whose flat lives the professor's friend.